Chhattisgarh State Power Distribution ... vs Chhattisgarh State Electricity ... on 16 January, 2026

IN THE APPELLATE TRIBUNAL FOR ELECTRICITY
(Appellate Jurisdiction)

R.P. No. 19 of 2025
in
Apl No. 286 of 2017

Dated: 16th January, 2026

Present: Hon'ble Ms. Seema Gupta, Technical Member
Hon'ble Mr. Virender Bhat, Judicial Member

In the matter of:

Chhattisgarh State Power Distribution Co. Ltd.
Represented by its Superintending Engineer (RAC-I)
4th Floor, Vidyut Sewa Bhavan, Daganiya,
Raipur (C.G.)- 492013
Email: rajeshsadasivan2007@gmail.com ... Petitioner(s)

Versus

1. Chhattisgarh State Electricity Regulatory Commission
Represented by its Secretary
Irrigation Colony, Shanti Nagar,
Raipur (C.G.)- 492001
Email: cserc.sec.cg@nic.in

2. Jayaswal Neco Industries Limited
Represented by its President (HRM)
F-8, MIDC, Industrial Area, Hingna Road,
Nagpur - 440016
Email: contact@necoindia.com

3. Chhattisgarh Mini Steel Plant Association
Represented by its President
Shop No. 408, 4th Floor,
Samta Shopping Arcade, Main Road,
Samta Colony, Raipur, (C.G.)- 492001
Email: cgmspa2002@gmail.com, cmspa@live.com

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4. Chhattisgarh Ferro Alloys Producers Association
Represented by its Secretary General
Urla Industrial Area,
Raipur (C.G.)- 492003
Email: sgcfapa@gmail.com

5. Chhattisgarh Steel Re-Rollers Association

Represented by its President
1st Floor, Sona Tower,Opp. Deshbandhu Press,
Ramasagarpara, Raipur (C.G.)- 492001
Email: cgsra@rediffmail.com, office.cgsra@gmail.com

6. J.K. Laxmi Cement Ltd.
Represented by its Chairman & Managing Director
Jaykaypuram, Basantgarh,
Distt. Sirohi, Rajasthan - 307019
Email: lakshmi_cement@lc.jkmail.com ... Respondent (s)

Counsel for the Petitioner(s)	:	R.K. Mehta Sr. Adv. Rashmi Singh for App. 1
Counsel for the Respondent(s)	:	Shikha Ohri Parinay Deep Shah Kartik Sharma for Res. 1 Raunak Jain For Res. 2

ORDER

PER HON'BLE MR. VIRENDER BHAT, JUDICIAL MEMBER

1. The Review Petition has been filed by Chhattisgarh Discom seeking review of judgement dated 15th May, 2025 passed by this Tribunal in Appeal No. 286 of 2017 which was directed against the

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common order dated 31st March, 2017 passed by Chhattisgarh State Electricity Regulatory Commission in four petitions bearing Nos. 64/2016(T), 65/2016(T), 66/2016(T) and 67/2016(T) filed by the Appellant. Vide the said order dated 31st March, 2017, the Commission had done true up of the financials of the Review Petitioner/Appellant for the Financial Year 2015-16 and had also determined its tariff for Financial Year 2017-18.

2. Following six issues had been raised by the Review Petitioner/Appellant in the said appeal before this Tribunal :-

(a) Negative interest on Working Capital reduced from ARR for FY 2015- 16;

(b) Erroneous calculation of Interest and Finance Charges in the revised ARR for FY 2017-18;

(c) Subsidy not received from Government considered as revenue for FY 2015-16;

(d) Return on Equity for FY 2015-16 taken as 15.5% instead of 16%;

(e) Computation of Interest on Loan considering effect as 'UDAY'; and

(f) Variable Cost Adjustment Charge

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3. The Petitioner is seeking a review of our findings on issue No. (f). On this issue, this Tribunal had affirmed the directions issued by the Commission in clause 8.5 of the impugned tariff order dated 31st March, 2017 to the Appellant for not billing the Variable Cost Adjustment (VCA) Charges for the period December, 2016 to March, 2017 to retail consumers.

4. It may be noted here that as per Regulation 67.8 of MYT Regulations, 2015, the VCA charges for the months of December and January i.e. 5th bimonthly period were to be included in the monthly bills to be raised in April and May on the sales for the months of March & April respectively. Therefore, the VCA charges for the month of December, 2016 were to be included in the monthly electricity bill for the month of March, 2017 to be raised in the month of April, 2017. However, in view of the above direction issued by the Commission in the impugned Tariff order, the VCA charges were not to be included in the monthly bill for the month of March, 2017. The contention of the Appellant was that the bills for the month of March, 2017 containing VCA charges had been raised by the Appellant before the impugned tariff order was conveyed to it by the Commission by way of letter dated 17th April, 2017 and

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therefore, the VCA charges for the month of December, 2016 stood reflected in the said bills.

5. It is vehemently argued by Learned Counsel for Review Petitioner/Appellant that as per Clause 67.9 of MYT Regulations, 2015 under recovery/over recovery due to implementation/dis-continuation of VCA charges shall be trued up based on the accounts as a part of year end truing up exercise and at the time of determination process or at the time of final true up. He would submit that MYT Regulations, 2015 do not envisage any refund of under recovery/over recovery of VCA charges. He also submitted that amount received towards VCA charges for the month of March, 2017 had been included in the true up process and benefit of the same had already been passed on to the consumers including the contesting Respondent No. 2 - M/s Jayaswal Neco Industries Ltd. Thus, it is contended on behalf of the Petitioner/Appellant that no direction for refund of excess VCA charges levied from the consumers for the months of December, 2016 to March, 2017 could be issued to the Appellant.

6. We may note that in clause 8.5 of the impugned tariff order dated 31st March, 2017, the Commission has stated that prevailing VCA of Rs.0.50 per kwh has been merged with existing tariff,

as the prevailing

---------- fuel cost has been factored in while projecting the power purchase cost and accordingly, Commission directed that VCA charges for the period December, 2016 to March, 2017 shall not be billed to retail consumers.

7. As already noted herein above, this Tribunal affirmed these findings of the Commission as well as the said direction issued to the Appellant/Review Petitioner.

8. Manifestly, there is no direction either from the Commission or from this Tribunal to the Appellant/Review Petitioner to refund the excess VCA charges levied from retail consumers for the period December 2016 to March, 2017. Therefore, we are unable to find any reason or occasion for the Appellant to file the instant review petition. It is for the Commission to take a call as per the applicable regulations as to either direct the Appellant/Review Petitioner to refund the excess VCA charges to the consumers or to include those in the true up process for the subsequent Financial Years .

9. According to the Review Petitioner, the following observations of this Tribunal in paragraph Nos. 34, 35 & 36 of judgement dated 15th May, 2025 are factually incorrect and not borne out from the record and hence cannot be permitted to stand :-

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> i.) Even if it is assumed that the Appellant could not have got the knowledge of the contents of the Tariff Order yet the factum of issuance of the said order can be safely attributed to the Appellant;
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> ii.) Appellant showed tearing hurry in raising the Bills for March 2017 including the VCA Charges in order to avoid compliance of the directions issued by the Commission in Clause 8.5 of the Tariff Order;
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> iii.) It is evident that Appellant has been intentionally avoiding to refund the VCA Charges collected from the Consumers in the Electricity Bills for the Month of March 2017. iv.) The issue with regard to VCA charge was incorporated by way of amendment after a lapse of two years from the date of filing of the appeal with the sole motive to defeat the claim of Respondent Nos. 2 to 6 for refund of VCA charges.

10. Learned Counsel for the Review Petitioner drew our attention to communication dated 17th April, 2017 (enclosed as Annexure III to the memo of appeal) received by the petitioner from the Commission along with which the impugned tariff order had been enclosed. It is submitted that there was no reason or occasion for the petitioner to gain knowledge

---------- of the impugned tariff order prior to 17th April, 2017 and the contents of the order came to its knowledge for the first time on 17th April, 2017. It is further contended that by the time, a copy of the impugned order was received on 17th April, 2017, the bills for the month of March, 2017, containing the VCA charges had been raised and despatched to the consumers and, therefore, the directions issued by the Commission in the impugned tariff order for not levying the VCA charge, from December, 2016 to March, 2017 could not be complied with. Learned Counsel would argue that considering these circumstances, the above noted observations of this Tribunal in the judgement dated 15.05.2025 are neither borne out from the record nor warranted.

11. We may note in this regard that Learned Counsel for the Review Petitioner did not point out either during oral submissions or in the written submissions filed in the main appeal that prior to receiving copy of impugned tariff order from the Commission vide communication dated 17th April, 2017 there was no occasion for it to gain knowledge about the contents of the tariff order. Nothing in this regard has been produced along with the Review Petition also. It is difficult to countenance the contention put forward on behalf of the Review Petitioner that the Commission does not pronounce its tariff order on the day on which they

---------- are passed and the copies of the orders are sent to the concerned parties much after a considerable period elapses from the date of passing of the tariff order and not forthwith. No material was produced by the Review Petitioner to substantiate such contention. These contentions have even not been stated on oath by way of an affidavit by the Review Petitioner to lend credence to them. In the absence of any credible material or a statement on oath, we do not find force in these submissions/contentions of the Review Petitioner.

12. Hence, we are unable to hold that our observations, as noted in paragraph No. 9 herein above, contained in the judgement dated 15th May, 2025 are not warranted and not borne out from the record.

13. The Review Petitioner has miserably filed to point out any patent factual error in the judgement dated 15.05.2025 in Appeal No. 286 of 2017 which may persuade us to invoke the power of review. Resultantly, the Review Petition is found to be misconceived and is hereby dismissed. Pronounced in the open court on this 16th day of January, 2026.

(Virender Bhat) (Seema Gupta)
Judicial Member Technical Member (Electri
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